

Skeena Resources

FY'23 – Advancing Eskay Creek and exploration the focus

Skeena Resources ('SKE') has released its financial results for 2023, with the company finishing the year with C\$91.1m of cash and net cash of C\$68.4m. The focus for 2024 will be advancing Eskay Creek towards production in 2026, continuing to advance exploration both at Eskay Creek and across the broader licence holdings in British Columbia and publishing a maiden engineering study for the Snip deposit that could be developed as a satellite project for Eskay Creek. We value the shares at C\$15.40/share.

Advancing Eskay Creek towards restart the focus for 2024

SKE plans to restart mining at the Eskay Creek project, with the development of a 324koz pa gold-equivalent ("AuEq") open pit operation, with low All-in Sustaining Costs ("AISC") of US\$684/oz, a 12-year initial mine life and a reserve of 4.6Moz. Initial capex was estimated by the 2023 DFS to be C\$713m, with sustaining capex of C\$561m and closure costs of C\$175m. We assume this is funded through a combination of streams, equity and debt. We value the project at C\$2,365m using a conservative US\$1,850/oz gold price and US\$25/oz silver. The mine will produce a concentrate that will be shipped for refining. Work during 2024 will be focused on infrastructure works at the mine, including pilot roads and for the mine infrastructure pad and potentially technical sample pit mining. Engineering is also progressing that could result in a steepening of the planned pit walls, which would reduce the strip ratio and increase the reserve. An optimisation of the process flowsheet is also ongoing to simplify it and improve concentrate quality. At Snip, SKE published an indicated resource of 823koz at 9.35g/t and an inferred resource of 114koz at 7.1g/t in 2023. Snip is approximately 50km west of Eskay Creek near the Alaskan border and previously produced 1.1Moz at 27.5g/t gold. If restarted as an underground operation it could provide a source of high grade, metallurgically clean ore for the plant at Eskay Creek.

Seismic survey planned at Eskay Creek

During 2024 SKE plans to conduct a seismic survey to better understand structures at depth that host Eskay Creek style mineralisation. This method is believed to be better suited to identifying Eskay Creek style mineralisation that is less amenable to electromagnetics or IP. The results of this survey will be used as the basis for further drilling. SKE staked the Hoodoo project in Q4 2023, which covers 74,633Ha of ground to the northwest of Eskay Creek, taking the company's aggregate holdings in the Golden Triangle to 178,901Ha. The Hoodoo area has not been explored previously, and is prospective for alkalic porphyry mineralisation. SKE is planning to select targets at both the Hoodoo and KSP projects, with 14,000m of drilling budgeted for this year.

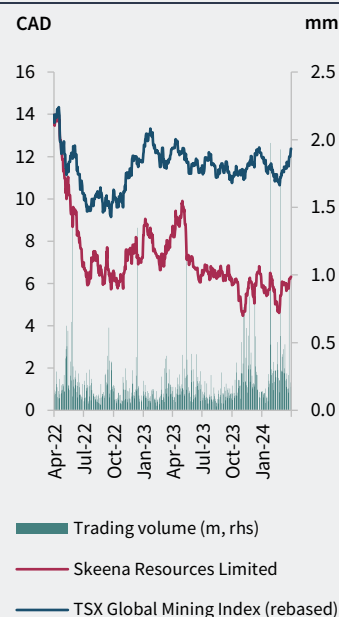
C\$15.40/sh valuation implies 144% upside

Our base assumption values Eskay Creek at C\$2,365m (Dec'24) using a long-term gold price of US\$1,850/oz, silver price of US\$25/oz and a WACC of 5%. We value Snip and the likely expansion potential of Eskay Creek at C\$539m. We apply 0.75x and 0.65x multiples, respectively, to take account of development, permitting and finance risks. Including the likely capital structure, this implies a valuation of C\$15.40/share (from C\$15.50).

GICS Sector	Materials
Ticker	SKE.CN
Market cap 3-April-2024 (C\$m)	571
Share price 3-April-2024 (C\$)	6.31
Target Valuation (C\$)	15.40

+144%

Upside from current share price to our C\$15.40/sh valuation



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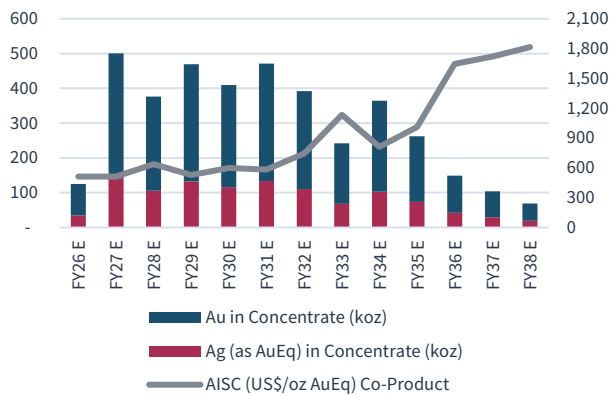
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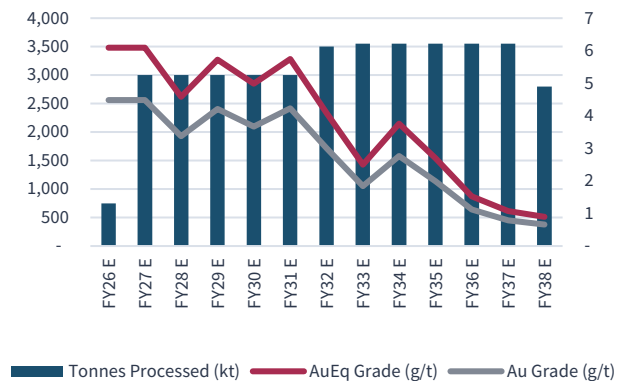
Key Charts

Eskey Creek production and AISC



Source: Company reports, H&P estimates

Eskey Creek tonnes processed and grade



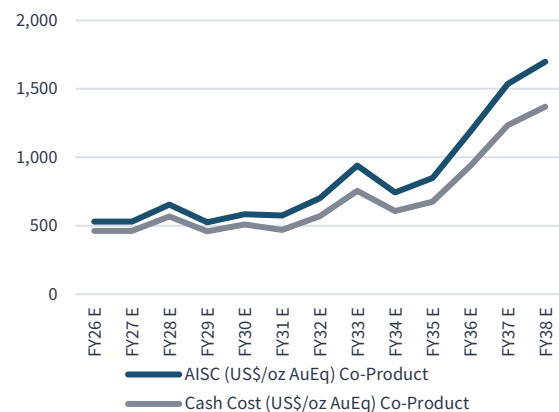
Source: Company reports, H&P estimates

Eskey Creek ore and waste mined and SR



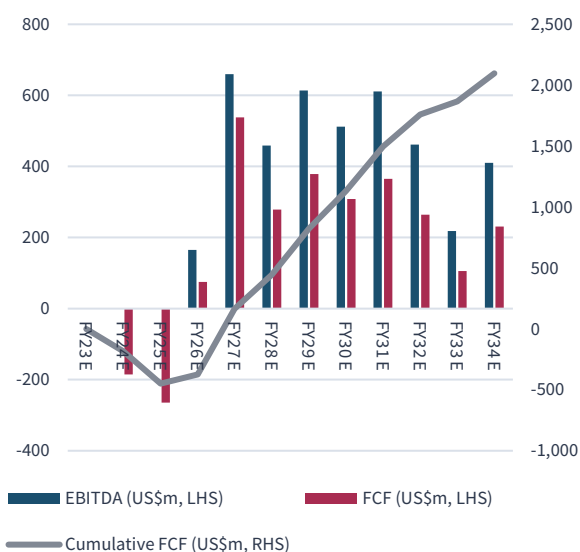
Source: Company reports, H&P estimates

Eskey Creek Cash Costs and AISC



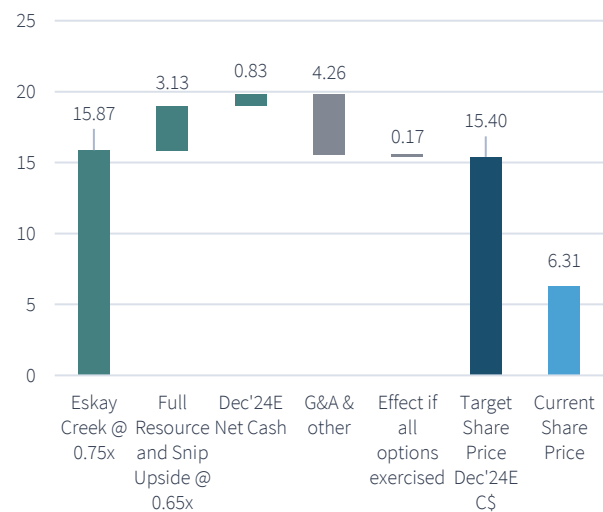
Source: Company

US\$2,260m of cumulative FCF over the 12 year LOM



Source: Company reports, H&P estimates

SOTP generates a risk weighted NAV of C\$15.40/share



Source: H&P estimates

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